

Sun Pharmaceuticals Industries Ltd

Ticker: SUNPHARMA

ROE

15.1%

ROCE

15.6%

Net Profit Margin

19.8%

Debt/Equity

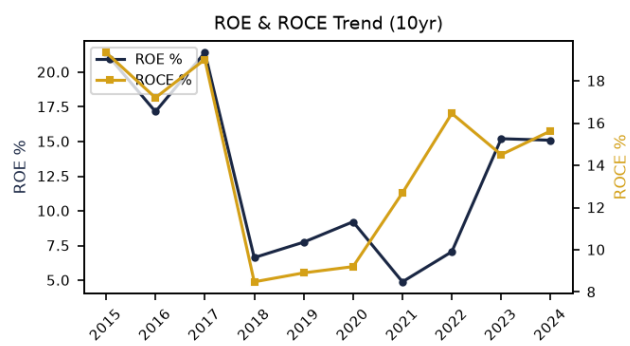
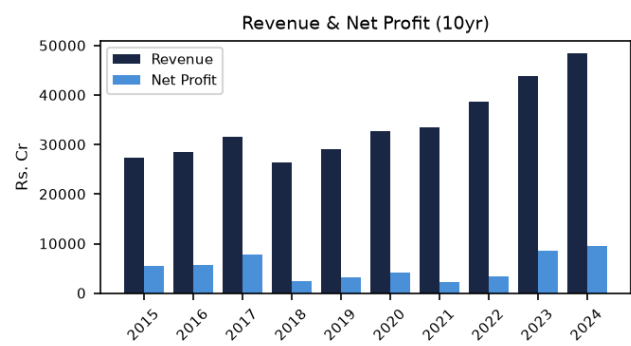
0.1

Revenue CAGR 5yr

10.8%

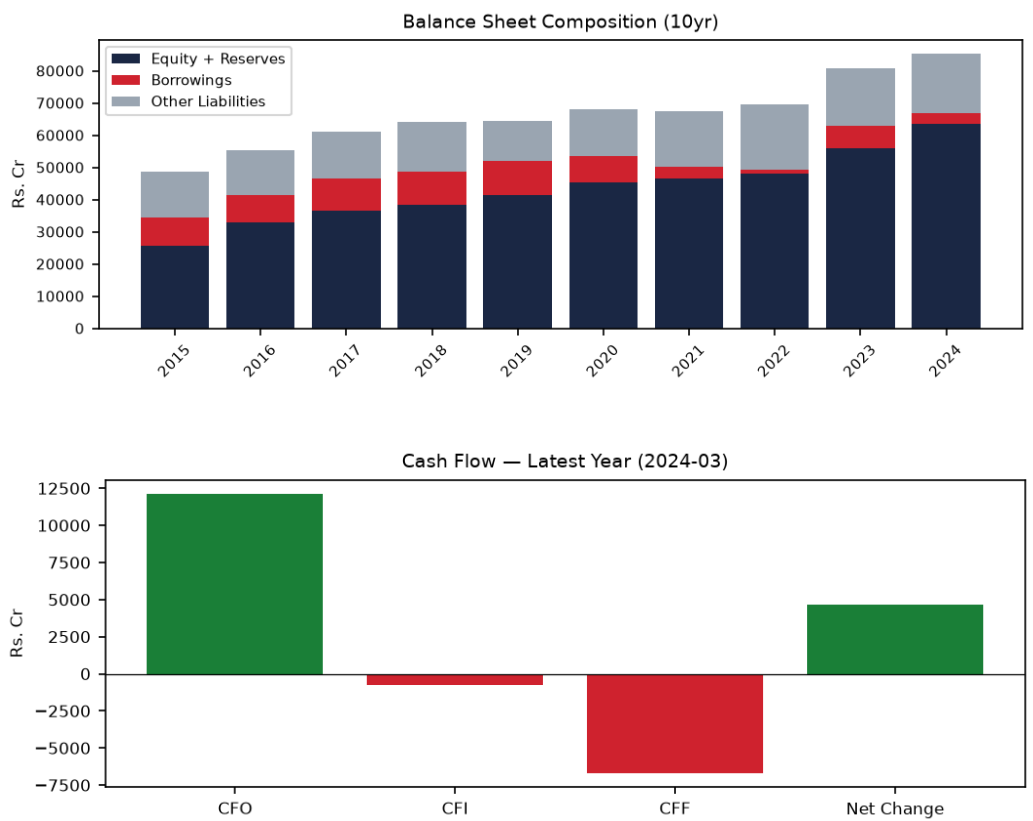
Free Cash Flow

11372.0 Cr



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Capital Allocation: Shareholder Returns

Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Return on equity ranks in the bottom 75% relative to its peer group, comparatively weaker than the rest of its profile